15. Contract balances

The following table provides information about debtors and contract liabilities from contracts with customers. The Company does not have any contract assets.

	Notes	2019 £ million	2018 £ million	2017 £ million
Trade debtors	9	**5.2**	7.0	7.7
Contract liabilities – deferred income	10, 11	**4.0**	5.3	5.8
Revenue recognised in the period from amounts included in contract liabilities at the beginning of the period		**4.4**	5.8	5.0

There was no revenue recognised in 2019, 2018 or 2017 from performance obligations satisfied in previous periods.

The timing of revenue recognition, invoicing and cash collections results in trade debtors and deferred income on the balance sheet.

The Company receives payments from customers based on a billing schedule, as established in the contract. Trade debtors are recognised when the right to consideration becomes unconditional. Contract liabilities are recognised as revenue as (or when) the Company performs under the contract.

The Company also recognises incremental costs incurred to obtain a contract as an asset if it expects to recover those costs. Such costs are presented within debtors in the balance sheet as assets recognised from costs to obtain a contract and disclosed in note 9.

Expected realisation of remaining performance obligations at year end

The Company applies the practical expedient in paragraph 121 of IFRS 15 and does not disclose information about remaining performance obligations that have original expected durations of one year or less.

For contracts that exceed one year, deferred income that relates to unsatisfied or partially satisfied performance obligations at year end is expected to be recognised as revenue in the future as follows:

	2019 £ million	2018 £ million
Within one year	**1.0**	1.2
Greater than one year	**0.8**	0.9
	1.8	2.1

The above information represents the revenue the Company will recognise when it satisfies the remaining performance obligations in the contracts. The amounts presented do not include orders for which neither party has performed.

Revenue from the sale of hardware and software generally arises from contracts less than one year in length. Consequently, the above amounts predominantly relate to the sale of maintenance and support services.

Virtually all of the revenue will be recognised within three years.

The Company provides standard warranties on its products and services. The nature of these warranties is considered to provide customers with assurance that the related product or service will function as intended in accordance with the agreed specification, and does not contain or imply any additional service obligation to the customer. Warranty obligations are estimated and recognised as liabilities based on the probable outflow of resources.

16. Operating lease commitments

The Company adopted IFRS 16 'Leases' on 1 January 2019; see note 21. In the lessee's financial statements, the standard eliminates the classification of leases as either operating leases or finance leases as per IAS 17 and introduces a single lessee accounting model. As a result, the vast majority of the Company's operating leases came onto the balance sheet.

At 31 December, the Company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2019 £ million	2018 £ million
Within one year	**-**	0.2
In the second to fifth years	**-**	0.5
	-	0.7